

homes to buy new cars, will have to sell assets to pay off debt. Variable mortgage payments and credit card interest rates will rise, devouring a greater percentage of income. Many corporations, some of whom have billions of dollars of debt outstanding, will experience a drop in profits, and will have to sell assets to pay interest. As the trend continues, local, state, federal and foreign governments will experience a drop in tax receipts, and will have to curtail spending.

Events associated with a debt collapse will provide continual justification for creditors to call in loans. Banks will call in houses, property and other collateral. As debtors sell everything they *can* to raise cash in a mad rush to stay solvent, unpaid creditors will sell everything they *must* to make up for the shortfall due to defaults. Raising cash by all parties will require the selling of stocks, real estate, commodities and bonds. The problem with selling assets is that *net selling reduces the overall value of the assets*. Thus, while the total value of U.S. property and public companies may be \$19 trillion today, this very value will be shrinking relentlessly as the deflationary process unfolds. In the deflation of the 1930s, stocks, real estate and commodities fell 90% in value, and questionable bonds fell 20% to 50%. Many stocks went to zero, and the companies were never heard from again. Many parcels of land were placed on the auction block. Many bonds went to zero as their issuers defaulted. The Elliott Wave outlook calls for a decline in asset values of at least that magnitude. At the end of the process, the current 1:1 ratio between total debt and real assets could change to 10:1 or worse.

As the plight of debtors worsens, the selling of bonds based upon fear of default will begin to reinforce the selling being done for cash-raising purposes. This part of the spiral will be of devastating importance because the world's wealth, and thus its presumed purchasing power, is tied up more in IOUs today than at any time in history. As the value of IOUs falls, the value of bond investors' portfolios will fall, and their wealth will disappear. Disappearing wealth is disappearing money. This will not be money "withdrawn," but money *evaporating*. Evaporating money threatens the value of the remaining IOUs, as it is money that services them and money that is ultimately required to pay them off. That threat will cause a further fall in the value of IOUs. The monetary result will be more deflation. Thus, the initial debt-contraction psychology of retrenchment will be reinforced with every downtick in prices and every notch downward in economic activity. The spiraling effect of these forces will destroy what many creditors today believe are their stores of value.